

END SEMESTER EXAMINATIONS, SPRING 2025

Program: BACHELOR OF TECHNOLOGY (COMPUTER SCIENCE & ENGINEERING)/ BACHELOR OF TECHNOLOGY (COMPUTER SCIENCE & ENGINEERING) (ARTIFICIAL INTELLIGENCE AND MACHINE LEARNING)/ BACHELOR OF TECHNOLOGY (COMPUTER SCIENCE & ENGINEERING) (INTERNET OF THINGS, CYBERSECURITY AND BLOCKCHAIN TECHNOLOGY)		
Subject Name: FINANCIAL MANAGEMENT		
Subject Code: 4000015105/ 4000105105/ 4000115105	Semester: VI	
Duration: 2 Hours	Maximum Marks: 50	

Note: Answer the following questions as directed.

Mod. No.- Module/Topic/Unit No., **BL-** Blooms Taxonomy, **CO-** Course Outcome.

Group A**(Answer All questions)****(Each question carries 2 marks)****(5 X 2)**

1. Answer the following questions:

- State why profit maximization is a fundamental objective of a business firm.
- State how you identify a firm, as a low – leveraged one.
- Enumerate the elements that are part of the financial market and, if relevant, provide examples.
- Indicate which two elements have the “risk – free rate” by listing their names.
- Calculate the future value and interest of Rs. 50,000 using simple interest for a tenure of 5 years, with rate of return 5%.

Mod. No.	BL	CO
1	2	1
3	2	3
1	1	1
4	1	3
2	2	1

Group B

(Answer any Four questions out of Six)
(Each question carries 5 marks)

(4 X 5)

2. Determine the investment's future worth if Rs. 50,00,000 is invested at a rate of 20% and compounded semi-annually for ten years.

3. Provide a concise framework of wealth maximization using simply a flow chart.

4. What is the weighted average cost of capital for a firm with 50% debt and 50% equity that pays 10% on its debt, and 20% on its equity, and has 40% rate of corporate tax.

5. Determine the Degree of Operating Leverage using the given data. 50,000 units were produced and sold; Rs. 30,000 was the fixed cost; Rs. 25 was the selling price per unit; and Rs. 15 was the variable cost per unit.

6.

Year	Cash Flows (Rs.)
2022	25,000
2023	40,000
2024	30,000
2025	10,000

The initial investment is Rs. 1,50,000, and the firm's cost of capital is 10%. As a business consultant, advise Sujata on whether or not to invest in the four-year project, using NPV method.

Mod. No.	BL	CO
2	3	2
1	4	1
4	4	3
3	3	6
3	5	3

7. Financial analyst Raj, provides financial advice for his company, AKN & Associates. He was paid forty thousand rupees as of March 31, 2023. This sum was given to him based on a fixed deposit that was made ten years ago. His father used UCO Bank to make this FD. The bank charged interest at a rate of 10% per annum, compounded annually, ten years ago. What was the investment's worth on April 1, 2013?

Mod. No.	BL	CO
2	4	3

Group C

(Answer any One question out of Two)
(Each question carries 20 marks)

(1 X 20)

8. The most ideal capital structure is what Gora is aiming for his newly established fintech company. The following is an estimate of the cost of debt and equity capital at various debt and equity mix levels:

Equity as % of total capital employed	Cost of debt. (%)	Cost of equity (%)
0	10	15
20	10	15
40	12	15
50	13	18
60	14	20

Determine the ideal capital structure by comparing the cost of capital for each debt and equity level with zero tax rate.

9. (a) Discuss the concept of leverage elaborately, along with pictorial representation.

Mod. No.	BL	CO
5	6	6
3	4	2

- (b) "The risk should be worth the return." – Justify this statement with proper explanation and diagrammatic presentation. (10 + 10)

Mod. No.	BL	CO
1	5	6